HUD 223(f) Loan *Terms and Requirements*

A Program Overview of HUD's Refinance and Acquisition Loan

This overview covers every term HUD sets on a 223(f), the requirements a property and its Borrower have to meet, what the loan costs and when each cost comes due, and how long it takes to close — with each figure tied to the HUD source that controls it today.

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THE BASICS

What Is a *HUD 223(f)* Loan?

A HUD 223(f) loan is a fixed-rate, non-recourse, fully amortizing permanent loan on an existing apartment project. The mortgage is provided by a lender and insured by FHA under Section 207 pursuant to Section 223(f) of the National Housing Act (hence the name "223(f)"). A 223(f) mortgage finances the refinance (or acquisition) of a stabilized property with five or more units. The loan has a fixed interest rate and fully amortizes over 35 years (or 75% of the appraised remaining economic life, if shorter). It is non-recourse, and a buyer can assume a seller's existing 223(f) mortgage with HUD's approval. The maximum leverage is 87% of value on a market-rate property and 90% on an affordable or rent-assisted property, as long as the minimum debt service coverage of 1.15x (market rate) and 1.11x (affordable and rent-assisted) is met. If the mortgage creates "cash-out" equity at closing, then the LTV drops to 80% of value. In addition to the interest rate, the debt service also contains mortgage insurance premium (MIP) which is 0.25% a year.

With a 35-year term, no balloon payment, and a loan a prospective buyer can assume, the 223(f) is a strong fit for borrowers who plan to hold a project for a longer term (rather than flip it in 3 to 5 years). It does take longer to close than agency debt, so it is rarely used for acquisitions; most of the 223(f) loans we close refinance an existing FNMA/Freddie mortgage, bank, acquisition/rehab bridge, or construction loan on a property that is already stabilized.

HUD 223(f) *Loan Terms*

Below are HUD's terms and underwriting requirements for every 223(f), regardless of which MAP lender submits the application. The March 2021 MAP Guide is HUD's current lender/underwriting guide, but Mortgagee Letters and Federal Register notices are always being released and updating the guidance.

Loan terms

TERM	HUD 223(F)	SOURCE
Insuring section	Section 207 pursuant to Section 223(f)	MAP Guide 3.7
Use	Acquisition or refinance of an existing multifamily property	MAP Guide 3.7
Loan term	Lesser of 35 years or 75% of remaining economic life; 10-year minimum	MAP Guide 3.7.20, 11.8.1
Rate and amortization	Fixed rate, locked before endorsement; level monthly principal and interest, fully amortizing, no balloon payment	MAP Guide 3.1.4, 3.1.5
Mortgage insurance premium	0.25% annually; the upfront premium at closing is the first year's 0.25%	90 FR 45789 (Sept. 23, 2025)
Recourse	Non-recourse to the Borrower entity. The principals named in the Firm Commitment are personally liable only for losses from the "bad acts" set out in the Regulatory Agreement	MAP Guide 3.1.3
Assumability	Assumable by a buyer through HUD's Transfer of Physical Assets (TPA) process	MAP Guide Glossary (TPA)
Prepayment	HUD permits lockouts and prepayment penalties that expire by year 10. In practice, nearly every 223(f) carries a 10-year declining prepayment penalty, because Ginnie Mae investors price that structure cheaper than shorter ones	MAP Guide 11.8.2
Davis-Bacon	Does not apply to the HUD 223(f) program	MAP Guide 3.7.9

Underwriting ratios

RATIO	MARKET RATE	AFFORDABLE	RENT-ASSISTED	SOURCE
Max loan-to-value; max % of acquisition cost (Criteria 3 and 7)	87%	90%	90%	ML 2025-03

RATIO	MARKET RATE	AFFORDABLE	RENT-ASSISTED	SOURCE
Min DSCR (Criterion 5)	1.15x	1.11x	1.11x	ML 2025-03
Max LTV on a cash-out refinance (Criterion 10)	80%	80%	80%	MAP Guide 3.7.11.F, App. 3; unchanged by ML 2025-03
Statutory per-unit limits (Criterion 4)	Base limits adjusted by the area's high-cost percentage			MAP Guide 3.7.14
Minimum underwritten vacancy	7%	5%	3%	MAP Guide App. 3; unchanged by ML 2025-03

Criterion 10 applies when the loan would exceed the cost to refinance. HUD doesn't limit the cash-out amount itself; the 80% LTV, along with the DSCR test, sets how much comes out. If the cost to refinance is higher than 80% of value, the loan can go up to that cost, with no cash out.

"Affordable" in this context means LIHTC with achievable rents at least 10% below market. "Rent-assisted" means 90% or more of the units carry project based rental assistance. HUD runs every one of these tests on form HUD-92264-A, and the lowest loan amount results in the final underwritten loan amount. How HUD sizes a 223(f) walks through each mortgage sizing test, and the vacancy floors and MIP also have separate white papers.

Repairs, reserves, and the rehab ceiling

REQUIREMENT	HUD 223(F)	SOURCE
Critical repairs: life-safety	Completed before closing	MAP Guide 3.7.5.A
Critical repairs: accessibility	Formally critical, but often deferred until after closing when they can't reasonably be finished first; escrowed with the non-critical repairs	MAP Guide 3.7.5.A, 5.10.8.A
Non-critical repairs	May be done after closing, against an escrow of 120% of their cost: 100% held from loan proceeds, plus an assurance of completion of 20% (10% on affordable deals, or with drawings, a third-party general contractor, and 10% retainage), in cash or a letter of credit	MAP Guide 3.7.5.B
Cash-out with deferred repairs	If there is cash-out, 50% of the cash-out is held in escrow until the deferred repairs are complete	MAP Guide 3.7.12
Reserve for replacements	Initial and annual deposits set from a 20-year capital needs assessment taken from PCNA report	MAP Guide 3.7.16; App. 5, A.5.7

REQUIREMENT	HUD 223(F)	SOURCE
Repair ceiling	Total repair cost can't exceed HUD base × HUD high-cost percentage × units. The 2026 HUD base is $20,406 per unit; at a 270% high-cost percentage, that is about $55,096 per unit. Above the limit, the deal can't be a 223(f).	MAP Guide 3.7.3.B, 5.1.2; ML 2026-05

Commercial space

REQUIREMENT	HUD 223(F)	SOURCE
Commercial space	No more than 25% of net rentable area	MAP Guide 3.7.18
Commercial income	No more than 20% of effective gross income	MAP Guide 3.7.18
Underwritten commercial occupancy	Lesser of 90%, the property's actual occupancy, or what the market supports	MAP Guide App. 3

If a project has commercial space or income above those thresholds, reach out and we can discuss different structures. Our property eligibility article also covers some ways they can get structured.

Large loans

If a loan amount is at or above HUD's large-loan threshold, which is $130 million for 2026 applications, more conservative underwriting ratios replace the ones listed above:

	MAX LTV (WITHOUT / WITH CASH-OUT)	MIN DSCR
Market rate	75% / 70%	1.30x
Affordable	80% / 70%	1.25x
Rent-assisted	87% / 80%	1.15x

With large loans, the Borrower's principals also need combined net worth of at least 20% of the loan amount and liquidity of at least 7.5%. HUD can waive both for sponsors of subsidized affordable housing. A large-loan property with a certificate of occupancy less than three years old also funds a debt service reserve equal to the greater of 12 months of principal, interest, and MIP, or 50% of any cash-out. The reserve is released after six consecutive months at the underwritten DSCR. Sources: ML 2023-14, which replaced MAP Guide §3.10 entirely; ML 2026-05 (threshold).

Figures current as of October 2026. HUD reindexes the large-loan threshold and the substantial rehabilitation base each year by Mortgagee Letter.

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MAP LENDERS

Does It Matter Which *MAP Lender* You Use?

As mentioned in the introduction, all HUD loans are done with a HUD approved lender (MAP Lenders) from the private sector. HUD is not the actual lender, but rather, insures the mortgage for the lender – allowing for lower interest rates. This means that MAP Lenders have to follow HUD's underwriting guidance (much like a FNMA DUS Lender follows FNMA's underwriting guidance). So a MAP Lender can't decide that it really likes a deal and be more aggressive than what is set in the tables above. HUD runs the same loan criteria on form HUD-92264-A for every application, and its internal reviewers check our numbers the same way they would check any other lender's. The interest rate is set mostly by where Ginnie Mae (GNMA) securities trade on the day the rate is locked, and the prepayment structure is also determined by the GNMA MBS market, so pricing quotes from MAP lenders on the same day are fairly similar.

That said, MAP lenders differ in their expertise in packaging HUD submissions and communicating markets and deals to HUD. Understanding the different HUD offices and knowing what their initial reactions to markets are can make the difference between HUD being encouraged about a particular value and NOI or having them question every aspect of a deal. Also, an experienced lender can make the timeline tighter as they know what items and reports are the ones that delay packages. 5 reasons HUD multifamily loans get delayed covers where applications most often lose time.

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THE PROPERTY

HUD 223(f) *Property Requirements*

A 223(f) property must be an existing multifamily project with five or more units, held in fee simple or under a HUD-approved leasehold of at least 99 years (renewable) or 50 years from the date the mortgage is executed. The included repairs have to stay under HUD's repair ceiling outlined above in Section 2, and the project's commercial space and income under the limits also listed there. Properties offering meal services, or leases of less than 30 days, are not eligible. Age-restricted properties are eligible under certain circumstances as long as they don't carry the features of a Section 232 healthcare project. Projects only for college students are not eligible. Our property eligibility article covers each of these in detail.

Newly built and recently stabilized properties

HUD used to require three years of operating history before a property could refinance with a 223(f). Thankfully, that rule changed in 2020 (Notice H 2020-03), and HUD will accept an application of a property less than three years old after it has achieved the programmatic DSCR for one full month. To close the loan, the property must continue to show that DSCR threshold. If a loan for one of these recently built projects includes cash-out, 50% of the available cash is held by the lender as a debt service reserve until the property has met the DSCR for six consecutive months.

Source: MAP Guide 3.7.2.B; DSCR per ML 2025-03. This is the 223(f) used as a takeout for a construction or lease-up bridge loan, and it is where we start a lot of our conversations with developers.

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THE BORROWER

HUD 223(f) *Borrower Requirements*

The Borrower must be a single-asset entity. It will be the entity that signs HUD's Regulatory Agreement (form HUD-92466M), which governs how the property is operated and when cash can be distributed to investors. In addition to reviewing the Borrower entity, the MAP lender and HUD will review each active principal's credit, financial capacity, and history with HUD-insured properties. A principal with a prior default or claim on a HUD-insured loan isn't automatically excluded, but HUD will probably require a concept meeting before the application to address that history.

Generally, two signatures are required for the "Section 50" bad-boy carve out of the non-recourse language. Usually, HUD requires one entity signature (often the GP entity) and an Individual signature (often the manager of that GP entity). Other than for the $130+ million "large loans", there are no formal net worth and liquidity thresholds for the sponsors. That said, if the 223(f) requires cash to close, the MAP lender and HUD will require that the sponsors show enough financial strength to close the transaction.

Source: MAP Guide 3.7.4, 3.7.8, Ch. 8; ML 2023-14.

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LOAN SIZING

How the *Loan Amount* Is Set

HUD sizes a 223(f) by running every criterion on form HUD-92264-A – the loan amount requested, loan-to-value, the congressional statutory per-unit limits, debt service coverage, and either the cost to refinance or, on a purchase, the cost of acquisition – and then HUD takes the lowest result. How HUD sizes a 223(f) walks through each test with an interactive calculator. When the DSCR coverage is the binding test, our DSCR-constrained mortgage article explains how the mortgage is determined, and the DSCR NOI vs. appraised-value NOI article explains why HUD underwrites two NOIs on the same deal. Our Montana deal shows one input, a state property tax change, adding $4 million in proceeds.

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TIMELINE

How Long a HUD 223(f) Takes *to Close*

A 223(f) has a single HUD submission, the Firm Application, so the timeline runs as engagement through third-party reports, HUD Firm Application, HUD review, Firm Commitment issuance, and then closing – which typically takes five to six months. A concept meeting with HUD before the application is optional on most deals and worth having on complex ones. The 223(f) timeline breaks down each step, the 223(f) checklist lists what HUD requires at application against Fannie Mae and Freddie Mac, and HUD survey requirements covers the one third-party item that most often surprises borrowers.

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COSTS

HUD 223(f) *Closing Costs*, and When You Pay Them

Nearly every cost of a 223(f) is mortgageable and is hopefully paid out of loan proceeds at closing, but some have to be paid in cash before they are reimbursed at closing. The table below lists the costs and when they each come due.

COST	HOW THE AMOUNT IS SET	WHEN IT IS PAID	IF THE DEAL DOESN'T CLOSE
Third-party reports (appraisal, Phase I, PCNA)	Scope of work, not loan size	At engagement	Spent as the work is done; unspent funds occasionally recovered
Lender processing fee	Flat	At engagement, at most lenders	Not refunded
ALTA/NSPS survey	Fieldwork cost	During underwriting	Billed for work done; the survey can be used on another execution
HUD application fee	0.30% of the requested mortgage (0.20% in a qualified Opportunity Zone)	At Firm Application submission	Not refunded; HUD earns it when it accepts the application
Rate lock good faith deposit	0.50% of the committed mortgage	Generally after receiving the HUD Firm Commitment, to lock the rate	At risk once the rate is locked; credited back at closing
Lender and Borrower legal	Deal complexity, not loan size	Accrues from Firm Commitment; paid at closing	Owed for hours worked
Lender financing fee	Varies by lender	Varies by lender	Varies by lender
Initial MIP	0.25% of the mortgage – the first year of the annual premium, collected in advance	At closing	—
HUD inspection fee	$1,500 up to 1% of repairs, depending on the repair schedule	At closing	—
Ginnie Mae placement fee	Set by the market	At closing	—
Title and recording	Loan amount, state, and county	At closing	Cancellation fee possible

HUD requires that the third-party money must be paid by the Borrower. The MAP Guide lists a lender paying a Borrower's third-party report costs or HUD application fee, or offering to refund the HUD application fee, among its prohibited inducements (MAP Guide 2.6.4.7), so no MAP lender can front those costs and collect them at closing.

The only costs that scale with the loan are the 0.30% application fee, the 0.25% initial MIP, and sometimes the lender financing fee. The rest – the inspection fee, processing fee, legal (Borrower and lender), the survey, and the third-party reports – runs over $90,000 whether the loan is $4.5 million or $33 million. That is about 2.1% of the smaller loan and 0.3% of the larger one, which is a large reason why HUD rarely sees market-rate 223(f) loans below $3 to $4 million.

At 0.50%, HUD's good faith deposit is a fraction of the 2% or more that Fannie Mae and Freddie Mac generally require at rate lock. This is because a HUD rate locks after the HUD Firm Commitment has fixed the underwriting, so the mortgage-backed security investor is only exposed to the loan not being delivered, rather than the underwriting changing as well.

A Firm Commitment is issued for 60 days. The Regional Center can extend it up to 120 more days, and HUD Headquarters another 60 for good cause. Reopening an expired commitment costs $0.50 per $1,000 of loan amount, requires updated third-party reports and credit documentation, and is the one HUD fee that can't be financed into the loan.

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AFTER CLOSING

Life *After Closing*

As part of the loan agreement with HUD and the MAP lender, the Borrower is required to submit an annual financial audit for the single-asset Borrower entity. Also required is the funding of the annual replacement reserve escrow that was determined by the lender and HUD using the Project Capital Needs Assessment (PCNA) report provided at underwriting. The Borrower has access to their replacement reserves for capital expenditures via requesting funds using the Form HUD-9250. The project's surplus cash is distributed under the rules in HUD cash flow distributions. Mortgagee Letter 2022-16 opened up monthly distributions for unsubsidized FHA-insured loans endorsed after it took effect; on a 223(f), the property generally qualifies after one full fiscal year from endorsement.

Closing a 223(f) also makes the property eligible for two programs that require an existing HUD-insured mortgage. A 223(a)(7) is a program that refinances an existing HUD loan to a lower rate through a streamlined process, with no cash-out, and a 241(a) supplemental loan is a program that finances additional units on the same property – without Davis-Bacon wages when the underlying loan is a 223(f).

Frequently Asked *Questions*

What is a HUD 223(f) loan?

A HUD 223(f) loan is a fixed-rate, non-recourse, fully amortizing permanent mortgage on an existing apartment property with five or more units, made by a private MAP lender and insured by FHA under Section 207 pursuant to Section 223(f) of the National Housing Act. It is used to refinance or acquire a stabilized property, with a term of up to 35 years.

What are the requirements for a HUD 223(f) loan?

The property must be an existing, stabilized multifamily project with five or more units, with repairs under HUD's repair ceiling and commercial space under 25% of net rentable area and 20% of income. The loan amount is determined using HUD's ratios: up to 87% of value and 1.15x DSCR on a market-rate property, or 90% and 1.11x on an affordable or rent-assisted property. The Borrower is a single-asset entity whose principals pass HUD's credit and previous participation review.

What LTV and DSCR does a HUD 223(f) allow?

Under Mortgagee Letter 2025-03, a 223(f) allows 87% loan-to-value with a 1.15x minimum DSCR on a market-rate property, and 90% with 1.11x on an affordable or rent-assisted property. A cash-out refinance is limited to 80% loan-to-value. Loans at or above HUD's large-loan threshold ($130 million for 2026) use more conservative ratios.

Can you take cash out with a HUD 223f refinance?

Yes. When the loan amount exceeds the cost to refinance the existing debt, repairs, and closing costs, the maximum loan drops to 80% of value, and the difference comes out as cash to the Borrower. HUD doesn't limit the cash amount itself and does not impose restrictions on what the cash is used for. If repairs are deferred until after closing, 50% of the cash-out is held in escrow until they are complete.

How long does a HUD 223(f) loan take to close?

A HUD 223(f) typically takes five to six months from engagement to closing. The program has a single HUD submission (the Firm Application) as opposed to the 221(d)(4) program which often has two HUD submissions.

How much are closing costs on a HUD 223(f) loan?

The costs that scale with the loan are the 0.30% HUD application fee, the 0.25% initial MIP, and sometimes the lender financing fee. The rest – inspection, processing, legal, survey, and third-party reports – runs over $90,000 regardless of loan size. Nearly all of it is mortgageable and repaid from loan proceeds at closing; the exception is the fee to reopen an expired Firm Commitment.

How much is the good faith deposit on a HUD 223(f)?

It is 0.50% of the committed mortgage amount, posted when HUD issues the Firm Commitment so the rate can be locked, and credited back at closing. Fannie Mae and Freddie Mac generally require 2% or more at rate lock.

Is a HUD 223(f) loan non-recourse?

Yes. The note is non-recourse to the Borrower entity. The principals named in Section 50 of the Regulatory Agreement are personally liable only for losses from the “bad acts” listed in the Regulatory Agreement.

Does a HUD 223(f) loan have a prepayment penalty?

HUD permits prepayment lockouts and penalties that expire by year 10, and in practice nearly every 223(f) carries a 10-year declining prepayment penalty, because Ginnie Mae investors price that structure better than shorter ones.

Can a newly built property refinance with a HUD 223(f)?

Yes. A property with a certificate of occupancy less than three years old can apply once it has achieved the programmatic DSCR for one full month. If the loan includes cash-out, 50% of the cash is held as a debt service reserve until the property has met the DSCR for six consecutive months.

Does it matter which MAP lender I use for a 223(f)?

Every MAP lender follows the same HUD underwriting criteria. Lenders differ in how well they package the application and present the market and the deal to HUD, which affects how smoothly HUD’s review goes and how long it takes to close.

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HUD/FHA Multifamily Origination

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